

PROPOSED INTERNATIONAL STANDARD ON QUALITY MANAGEMENT 2 – ENGAGEMENT QUALITY REVIEWS

(MARKED FROM AGENDA ITEM 6-A OF THE SEPTEMBER 2018 (AND RELATED
SUPPLEMENTARY MATERIAL) IAASB MEETING)

Note to Board:

References to International Standard on Quality Control/ISQC changed to International Standard on Quality Management/ISQM throughout and are not shown in markup to facilitate your review.

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Proposed International Standard on Quality Management (ISQM) 2, *Engagement Quality Reviews*, should be read in conjunction with the *Preface to the International Quality Control, Auditing, Review, Other Assurance, and Related Services Pronouncements*. Introduction

Scope of this ISQM

1. This International Standard on Quality Control (ISQM) deals with:
 - The appointment and eligibility ~~criteria for of~~ the engagement quality reviewer; and
 - The engagement quality reviewer's responsibilities relating to performing and documenting an engagement quality review.
2. This ISQM applies to all engagements for which ~~the firm determines that~~ an engagement quality review is required to be performed, or for which the firm determines such a review is an appropriate response to assessed quality risks, in accordance with proposed ISQM 1.¹ This ISQM is premised on the basis that the firm is subject to proposed ISQM 1 or to national requirements that are at least as demanding.

The Firm's System of Quality Management and Role of Engagement Quality Reviews

3. Proposed ISQM 1 establishes the firm's responsibilities for its system of quality management and requires the firm to establish policies or procedures regarding addressing engagement quality reviews ~~that address in accordance with this ISQM:~~
 - ~~The scope of engagements subject to an engagement quality review;~~
 - ~~The appointment of engagement quality reviewers to perform engagement quality reviews;~~
 - ~~The responsibilities of the engagement quality reviewer in performing and documenting the engagement quality review;~~
 - ~~The responsibilities of the engagement partner in relation to the engagement quality review; (Ref: Para. A1)~~

¹ Proposed ~~ISQC 1 (Revised)~~ International Standard on Quality Management (ISQM), *Quality Management for Firms that Perform Audits or Reviews of Financial Statements or Other Assurance or Related Services Engagements*, paragraph ~~4340~~ (e) ~~(i)~~

- ~~Circumstances when the nature and extent of engagement team discussions with the engagement quality reviewer about a significant judgment give rise to a threat to the objectivity of the engagement quality reviewer; and~~
 - ~~Communication of responsibilities for engagement quality reviews.~~
4. The objective of the firm is to design, implement and operate a system of quality management for audits or reviews of financial statements, or other assurance or related services engagements performed by the firm, that provides the firm with reasonable assurance that:
- (a) The firm and its personnel fulfill their responsibilities in accordance with professional standards and applicable legal and regulatory requirements and conduct engagements in accordance with such standards and requirements; and
 - (b) Engagement reports issued by the firm or engagement partners are appropriate in the circumstances.² (Ref: Para. A1)
5. The public interest is served by the consistent performance of quality engagements. Quality engagements are achieved through planning and performing engagements and reporting on them in accordance with professional standards and applicable legal and regulatory requirements. Achieving the objectives of those standards and complying with the requirements of applicable law or regulation involves applying professional judgment and, when applicable, exercising professional skepticism. An engagement quality review performed in accordance with this ISQM is one response, among others, to a firm's quality risks related to the performance of engagements.
4. ~~[Former paragraph 4 deleted – point covered in paragraph 19] This ISQC requires the engagement quality reviewer to perform procedures, taking into account the firm's policies or procedures that address the requirements of this ISQC. Nevertheless, given the nature and circumstances of the engagement subject to review, or the circumstances of the firm, the engagement quality reviewer may need to perform additional procedures beyond those set out in the firm's policies or procedures and this ISQC to achieve the objectives of this ISQC. (Ref: Para. A2)~~
5. ~~[Deleted text from former paragraph 5 included in new paragraph 5] An engagement quality review is one response, among others, to the firm's identified quality risks that relate to the quality objective in ISQC 1 (Revised).³~~
6. The engagement quality reviewer's evaluation of significant judgments is performed in the context of ~~the applicable~~ professional standards and applicable legal and regulatory requirements ~~laws and regulations~~. However, an engagement quality review is not intended to be an evaluation of whether the entire engagement complies with professional standards and applicable legal and regulatory requirements, or with the firm's policies or procedures.
7. The engagement quality reviewer is not a member of the engagement team. The performance of an engagement quality review does not reduce the responsibilities of the engagement partner for achieving quality on the engagement, nor does it change the nature, timing and extent of procedures that need to be performed by the engagement team. The engagement quality review does not itself produce evidence to support the opinion or conclusion on the engagement, but the

² Proposed ISQM 1, paragraph 21

³ Proposed ISQC 1 (Revised), paragraph 42(b)

engagement team's responses to matters raised in the engagement quality review may result in obtaining further evidence. (Ref: Para. A1)

Authority of this ISQM

~~8. This ISQM applies to:~~

- ~~(a) All firms of professional accountants when determining the eligibility of, and appointing, engagement quality reviewers; and~~
- ~~(b) All individuals appointed as engagement quality reviewers.~~

~~98. This ISQM contains the objectives for the firm and the engagement quality reviewer, respectively, in following the ISQM, and requirements designed to enable the firm and the engagement quality reviewer to meet their respective the firm's objectives. In addition, this ISQM contains related guidance in the form of application and other explanatory material, as discussed further in paragraph 12, and introductory material that provides context relevant to a proper understanding of the ISQM, and definitions. Proposed ISQM 1 further explains the terms objective, requirements, application material and other explanatory material, introductory material, and definitions.~~

~~10. The objectives of this ISQM provide the context in which the requirements of this ISQM are set, and are intended to assist the firm and the engagement quality reviewer in:~~

- ~~• Understanding what needs to be accomplished; and~~
- ~~• Determining whether more needs to be done to achieve their respective objectives.~~

~~11. The requirements of this ISQM are expressed using "shall."~~

~~12. Where necessary, the application and other explanatory material provides further explanation of the requirements and guidance for carrying them out. In particular, it may:~~

- ~~• Explain more precisely what a requirement means or is intended to cover; and~~
- ~~• Include examples that illustrate how the requirements might be applied.~~

~~While such guidance does not in itself impose a requirement, it is relevant to the proper application of the requirements. The application and other explanatory material may also provide background information on matters addressed in this ISQM. Where appropriate, additional considerations specific to public sector audit organizations are included within the application and other explanatory material. These additional considerations assist in the application of the requirements in this ISQM. They do not, however, limit or reduce the responsibility of the firm and the engagement quality reviewer to apply and comply with the requirements in this ISQM.~~

~~13. This ISQM includes, under the heading "Definitions," a description of the meanings attributed to certain terms for purposes of this ISQM. These are provided to assist in the consistent application and interpretation of this ISQM, and are not intended to override definitions that may be established for other purposes, whether in law, regulation or otherwise. The Glossary of Terms relating to International Standards issued by the IAASB in the Handbook of International Quality Control, Auditing, Review, Other Assurance, and Related Services Pronouncements published by IFAC includes the terms defined in this ISQM. (Ref: Para.A3)~~

Effective Date

~~149.~~ This ISQM is effective for ~~{TBD}~~.

Objectives

~~1510.~~ The objective of the firm is to obtain from the engagement quality reviewer, on or before the date of the engagement report, an objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon:

~~(a) The firm is to appoint, for an engagement subject to an engagement quality review, an individual who meets the eligibility criteria for an engagement quality reviewer; and~~

~~(b) The engagement quality reviewer is to fulfill the responsibilities for the performance and documentation of the engagement quality review.~~

Definitions

~~116.~~ In this ISQM, the following terms have the meanings attributed below:

- (a) Engagement quality review – An objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon that is completed on or before the date of the engagement report.
- (b) Engagement quality reviewer – A suitably qualified partner or other ~~suitably qualified~~ individual appointed by the firm to be responsible for the performance of the engagement quality review. (Ref: Para. ~~A1A4–A5~~)
- (c) Relevant ethical requirements – Principles of professional ethics and e~~E~~thical requirements that are applicable to a professional accountant when to which the engagement quality reviewer is subject in ~~undertaking the an engagement quality review of engagements that are audits or reviews of financial statements, or other assurance or related services engagements.~~ Relevant ethical requirements ordinarily comprise the provisions of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (Including International Independence Standards)* (IESBA Code) related to audits or reviews of financial statements, or other assurance or related services engagements, together with national requirements that are more restrictive.

Requirements

Applying, and Complying with, Relevant Requirements

~~1712.~~ The firm and the engagement quality reviewer shall have an understanding of this ISQM, including its application and other explanatory material, to understand, as applicable, the objectives of this ISQM and to properly apply the requirements relevant to them.

~~1813.~~ The firm or the engagement quality reviewer, as applicable, shall comply with each requirement of this ISQM unless the requirement is not relevant in the circumstances.

~~1914.~~ The proper application of the requirements is expected to provide a sufficient basis for the achievement of the objectives of this standard. However, if the firm or the engagement quality reviewer determines that the application of the relevant requirements does not provide a sufficient basis for the achievement of the ~~relevant~~ objective in of this standard, the firm or the engagement

quality reviewer, as applicable, shall take further actions to achieve ~~their respective~~the objectives. Such actions shall include consideration of whether additional eligibility criteria or engagement quality review procedures to those required by this ISQM are necessary to support the achievement of the objective of this ISQM.

Appointment and Eligibility Criteria for the Engagement Quality Reviewers

~~19A5.~~ [Moved from ISQC 1.43(e)(ii)] ~~The firm shall Eestablishing~~ policies or procedures ~~addressing engagement quality reviews~~ regarding: ~~t~~The appointment of ~~an~~ engagement quality reviewer~~s~~ ~~to perform engagement quality reviews, including that address:~~

- (a) [Previously part of ISQM 1.43(e)(ii)a] The assignment of responsibility for the appointment of engagement quality reviewers to an individual with the competence, capabilities, and appropriate authority within the firm ~~and objectivity~~, needed to assume the responsibility; (Ref: Para. ~~A104A2–A3~~)
- ~~(b-)~~ [Previously part of ISQM 1.43(e)(ii)b] The criteria for eligibility to ~~perform~~be appointed as an engagement quality reviewer, or participate as and, when applicable, an assistant in, individuals who assist the engagement quality reviewer, in accordance with paragraphs 2016 and 2417, respectively~~that fulfill the requirements in ISQC 2~~; (Ref: Para. ~~A105–A106CA4~~)
- (c) [Previously part of ISQM 1.43(e)(ii)b] Limitations on the eligibility of an individuals to be appointed as engagement quality reviewers for an engagement on which the individual who previously served as engagement partner ~~on an engagement subject to the review~~; and (Ref: Para. ~~A105–A106CA5–A6~~)
- ~~(ed)-~~ [Previously part of ISQM 1.43(e)(ii)b] Circumstances in which The replacement of the engagement quality ~~reviewer when the~~ reviewer's ability to perform the engagement quality review ~~is would be deemed to be~~ impaired, including when notified by the engagement quality reviewer in accordance with paragraph 2218, and the process for identifying a replacement in such circumstances. (Ref: Para. ~~A106D~~)

~~2016.~~ The firm's policies or procedures addressing the eligibility of the engagement quality reviewer established in accordance with ISQC 1 (Revised) shall require the firm to evaluate whether the individual to be appointed as the engagement quality reviewer is eligible for that appointment by determining that the individual The engagement quality reviewer shall: (Ref: Para. ~~A6, A105–A106C~~)

- (a) ~~Is not~~be a member of the engagement team; (Ref: Para. ~~A12~~)
- (b) Be~~s~~ a partner or other individual with the competence, and capabilities, including sufficient time, and the appropriate authority to evaluate, ~~including to question, when appropriate,~~ the significant judgments made by the engagement team and the conclusions reached thereon; and (Ref: Para. ~~A7–A13A11~~)
- ~~(e)-~~ [Former subparagraph c included in new subparagraph (c)(i) and (ii)] ~~Is not subject to threats to objectivity related to the engagement or the engagement team that are not at, or that have not been reduced to, an acceptable level and complies with the firm's policies or procedures that address the engagement quality reviewer's objectivity (including, when applicable, limitations on the eligibility of individuals to be appointed as engagement quality reviewers who previously served as the engagement partner on an engagement subject to the review); and (Ref: Para. A12–A13)~~
- ~~(dc)~~ Complies~~Comply~~ with:

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- (i) Relevant ethical requirements, including that threats to objectivity of the engagement quality reviewer related to the engagement or the engagement team do not exist, or have been reduced to an acceptable level; (Ref: Para. ~~A17–A19~~~~BA14 –A17~~) and
- (ii) [Moved from former subparagraph (c)] Requirements established by the firm regarding limitations on the eligibility to be appointed as the engagement quality reviewer for the engagement as described in paragraph 15(c); and
- (iii) When applicable, requirements of law and regulation that are relevant to the eligibility of the engagement quality reviewer. (Ref: Para. ~~A20~~~~A18~~)

~~2117.~~ [Previously paragraph 22 – switched order with previous paragraph 21] Individuals who assist the engagement quality reviewer, ~~when applicable, in performing the engagement quality review~~ shall: (Ref: Para. ~~A22~~~~A19 –A23~~~~A20~~)

- (a) Not be members of the engagement team;
- (b) Have the competence and capabilities, including sufficient time, to perform the duties assigned to them; and
- (c) Comply with relevant ethical requirements and, if applicable, the requirements of law and regulation that are relevant to the eligibility of the engagement quality reviewer.

~~2218.~~ [Previously paragraph 21 – switched order with previous paragraph 22 and reversed order of (a) and (b)] When the engagement quality reviewer is, or becomes, aware of circumstances that impair the engagement quality reviewer's eligibility to be an engagement quality reviewer, the engagement quality reviewer shall notify the appropriate individual(s) in the firm so that the firm can appoint another individual who meets the eligibility requirements, and: (Ref: Para. A21)

- (a) If the engagement quality review has not commenced, Decline–decline the appointment to perform the engagement quality review ~~by notifying the firm so that the firm can appoint another individual who meets the eligibility requirements;~~ or
- (b) If the engagement quality review has commenced, dDiscontinue the performance of the engagement quality review; ~~or.~~

Performance of the Engagement Quality Review

~~2319.~~ The firm shall establish policies or procedures regarding the performance of the engagement quality review that address:

- (a) [Adapted from former ISQC 1.43(e)(iii)] The engagement quality reviewer's responsibilities of the engagement quality reviewer in performing and documenting the engagement quality review that fulfill the requirements of ISQC 2 to perform procedures in accordance with paragraphs 20–21 at appropriate points in time during the engagement. The nature, timing and extent of the procedures shall to provide an appropriate basis for an objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon; ~~;~~ (Ref: Para. ~~A24 –A29~~~~A22~~)
- (b) [Moved from former ISQC 1.43(e)(iv)] The responsibilities of the engagement partner in relation to the engagement quality review, including prohibiting the engagement partner from dating the engagement report until the completion of the review; and (Ref: Para. ~~A108 –A108~~~~AA23~~)

- (c) [Moved from former ISQC 1.43(e)(v)] Circumstances when the nature and extent of engagement team discussions with the engagement quality reviewer about a significant judgment give rise to a threat to the objectivity of the engagement quality reviewer. (Ref: Para. ~~A109~~A24)
- (d) [Former paragraph 43(e)(vi) of ISQC 1 covered in paragraph 43 of proposed ISQM 1 – see Agenda Item 2-A] ~~Communication of responsibilities for engagement quality reviews to, as applicable:~~
 - ~~(i) Individuals involved in appointing engagement quality reviewers;~~
 - ~~(ii) Engagement quality reviewers and individuals who assist engagement quality reviewers in performing such reviews; and~~
 - ~~(iii) Engagement partners and members of engagement teams on engagements subject to engagement quality review.~~

2420. In performing the engagement quality review, The procedures the engagement quality reviewer shall perform include: (Ref: ~~A25–A34~~)

- (a) Reading and understanding ~~relevant~~ information:
 - (i) Obtained from the engagement team about the nature and circumstances of the engagement; and
 - ~~(ii) Included, or referred to, in the practitioner's report, including as applicable, the subject matter information;~~ (iii) Provided by the firm about ~~the results of~~ its monitoring and remediation ~~activities~~, in particular identified deficiencies that may relate to, or affect, the areas involving the significant judgments ~~made, or that ought to have been made,~~ by the engagement team ~~on the engagement subject to the engagement quality review.~~
- (b) Discussing significant matters with the engagement partner and, if applicable, other members of the engagement team. (Ref: Para. A29)
- (c) Based on the information obtained in (a) and (b), identifying the areas involving significant judgments made, ~~or that ought to have been made,~~ by the engagement team, including those related to: (Ref: Para. ~~A27A30–A31~~)
 - (i) The overall strategy and plan for performing the engagement; ~~and~~
 - (ii) The performance of the engagement; and
 - (iii) Concluding, when applicable, and reporting on the engagement.
- (d) Reviewing selected engagement documentation that supports ~~of~~ the significant judgments made, ~~including significant judgments made in relation to significant matters,~~ by the engagement team and the conclusions reached thereon and ~~evaluating~~evaluate: (Ref: ~~Para. A28–A29~~)
 - (i) The engagement team's basis for making the significant judgments, including when applicable, the appropriate exercise of professional skepticism;
 - ~~(ii) [Moved to 20(e)] Whether consultation has taken place on matters involving differences of opinion or other difficult or contentious matters and the conclusions arising from those consultations; and~~

- (iii) Whether the engagement documentation supports the conclusions reached; and
- (iii) Whether the conclusions reached were appropriate.
- (e) [Moved from paragraph 24(d)(ii)] Evaluate w~~h~~ whether consultation has taken place on difficult or contentious matters or matters involving differences of opinion ~~or other difficult or contentious matters~~ and the conclusions arising from those consultations; (Ref: Para. A32)
- (ef) For audits of financial statements, reviewing whether evaluate the basis for the engagement partner's conclusion that the engagement partner has taken overall responsibility for managing and achieving quality on the audit engagement. (Ref: Para. ~~A33–A34~~A30)
- (fg) Reviewing:
 - (i) For audits of financial statements, the financial statements and the draft of the auditor's report thereon, including, if applicable, the description of the key audit matters; or
 - (ii) For other engagements, the final draft of the engagement report, and when applicable, the final draft of the subject matter information; and. (Ref: Para. A30A)

2521. The engagement quality reviewer shall evaluate whether, on or before the date of the engagement report:

- (a) The requirements of this ISQM have been fulfilled, ~~taking into account the firm's policies or procedures that address the requirements in this ISQC,~~ and the objective of ~~this ISQC~~the engagement quality review has been achieved; and
- (b) There are any ~~unresolved matters of which the engagement quality reviewer is aware that would cause the engagement quality reviewer to believe~~concerns that the significant judgments made by the engagement team ~~made, and or~~ the conclusions it reached thereon, were not appropriate. If so, the engagement quality reviewer shall notify the engagement partner and appropriate individual(s) in the firm that the engagement quality review cannot be completed until such concerns are addressed to the engagement quality reviewer's satisfaction.

Documentation

2622. The firm shall establish policies and procedures that require the engagement quality reviewer to shall prepare documentation that is sufficient to enable an experienced practitioner, having no previous connection with the engagement, to understand the nature, timing and extent of the procedures performed by the engagement quality reviewer and, when applicable, individuals who assisted the reviewer, ~~including identifying the engagement documentation reviewed, and the conclusions reached in accordance with paragraph 25. The engagement quality reviewer shall document the date of completion of the engagement quality review. (Ref: Para. A35–A37)~~

23. The firm's policies or procedures shall require the documentation of the engagement quality review to be included with the engagement documentation.

24. The engagement quality reviewer shall include in the documentation of the engagement quality review:

- (a) The name of the engagement quality reviewer and individuals who assisted with the engagement quality review;

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- (b) An identification of the engagement documentation reviewed;
- (c) The engagement quality reviewer's evaluation in accordance with paragraph 21;
- (d) The date of completion of the engagement quality review; and
- (e) Other documentation required by the firm's policies and procedures.

Application and Other Explanatory Material

Introduction (Ref: Para. ~~3–7~~)

~~A1. — For audits of financial statements, ISA 220 (Revised)⁴ establishes requirements for the engagement partner in relation to the engagement quality review, including:~~

- ~~• Determining that an engagement quality reviewer has been appointed;~~
- ~~• Cooperating with the engagement quality reviewer and informing members of the engagement team of their responsibility to cooperate with the engagement quality reviewer;~~
- ~~• Discussing significant matters arising during the audit engagement, including those identified during the engagement quality review, with the engagement quality reviewer; and~~

~~Not dating the auditor's report until the completion of the engagement quality review.~~ [Former paragraph A1 moved to paragraph A25]

~~A2. The firm's policies or procedures may require the engagement quality reviewer to communicate specific information that is relevant to the firm's system of quality management. The engagement quality reviewer may identify other information not specified in the firm's policies or procedures that is relevant to the firm's system of quality management, and may be necessary to communicate to the firm. The engagement quality reviewer may also identify that the firm's policies or procedures for the engagement quality review are inadequate to support the achievement of the objective of the engagement quality review and communicate this information to the firm.~~ [Former paragraph A2 addressed in paragraph 42 of ISQM 1 – see Agenda Item 2-B]

Authority of this ISQC (Ref: Para. ~~13~~)

~~A3. The Glossary of Terms may also includes descriptions of other terms found in the ISQMs to assist in common and consistent interpretation and translation.~~

Definitions (Ref: Para. ~~16~~11(b))

Engagement Quality Reviewer

~~A1A4. An A partner or other~~ individual is suitably qualified when ~~the individual~~that individual fulfills the eligibility ~~requirements~~criteria in paragraph ~~20~~16. [Second sentence of former A4 moved to paragraph A5]

~~For example, a service provider may be:~~

- ~~• A firm outside of the firm's network;~~

⁴ — Proposed ISA 220 (Revised), *Quality Control for an Audit of Financial Statements*, paragraph 19

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- ~~○ A professional accountancy body whose members may perform audits or reviews of historical financial information, or other assurance or related services engagements; or~~
- ~~○ An organization that provides relevant quality management services.~~

~~A5. In some circumstances, an individual or a team of individuals may assist the engagement quality reviewer in performing the engagement quality review. Nevertheless, the engagement quality reviewer appointed by the firm remains responsible for the overall performance of the review.~~

Appointment and Eligibility of Engagement Quality Reviewers

~~Individual Responsible~~ Assignment of Responsibility for the Appointment of Engagement Quality Reviewers
(Ref: Para. ~~20(b)~~15(a))

~~Competence, Capabilities and Appropriate Authority (Ref: Para. 20(b))~~

A2. [Moved from former paragraph A104 of ISQC 1] Competence and capabilities that enable an individual to assume responsibility for the appointment of the engagement quality reviewer may include appropriate knowledge about:

- The responsibilities of an engagement quality reviewer;
- The criteria in paragraph ~~20-16~~ regarding the eligibility of engagement quality reviewers, including those regarding the competence and, capabilities, including sufficient time, and the appropriate authority and objectivity of the engagement quality reviewer; and
- The nature and circumstances of the engagement subject to engagement quality review (e.g., the nature of the entity and the composition of the engagement team).

~~A6. [Former paragraph A6 moved to A4] In some circumstances, there may not be an individual within the firm who is eligible to perform the engagement quality review and the firm may therefore contract with, or obtain the services of, external persons, including those described in paragraph A5–A6, to perform the engagement quality review. When an external person is to be appointed to perform the engagement quality review, making relevant inquiries about the external person before making the appointment may assist the firm in obtaining the necessary information about whether the external person meets the eligibility requirements to be an engagement quality reviewer. ISQM 1⁵ contains requirements that address determining that the reputation or competence and capabilities of a service provider are appropriate in the context of the service provided.~~

A3. [Moved from former paragraph A106 of ISQC 1] ~~A threat to the objectivity of the individual responsible for the appointment of the engagement quality reviewer may arise in circumstances when the individual is a member of the engagement team.~~ In exceptional circumstances, ~~however~~, it may not be practicable for an individual other than a member of the engagement team to appoint the engagement quality reviewer, for example, in the case of a smaller firm or a sole practitioner. [Previously the first sentence] In these circumstances, A ~~a~~ threat to the objectivity of the individual responsible for the appointment of the engagement quality reviewer may arise ~~in circumstances when the individual is a member of the engagement team.~~

⁵ ~~Proposed ISQC 1 (Revised)~~ ISQM 1, paragraph 66

Eligibility of the Engagement Quality Reviewer (Ref: Para. 15(b))

A46. [Moved from former paragraph A6] In some circumstances, there may not be an individual within the firm who is eligible to perform the engagement quality review and the firm may therefore contract with, or obtain the services of, external ~~persons~~individuals, ~~including those described in paragraph A5–A6,~~ to perform the engagement quality review. [Moved from former paragraph A4] A suitably qualified external individual may be a partner or an employee of:

- A firm within the firm's network, which is subject to the requirements for network requirements or network services in paragraphs ~~6059–65–64~~ of proposed ISQM 1; or
- A service provider, which is subject to the requirements for service providers in paragraphs ~~6665–67–66~~ of proposed ISQM 1.

When an external ~~person~~individual is to be appointed to perform the engagement quality review, making relevant inquiries about the ~~external person~~individual before making the appointment may assist the firm in obtaining the necessary information about whether the ~~external person~~individual meets the eligibility requirements to be an engagement quality reviewer. ~~ISQM 1⁶ contains requirements that address determining that the reputation or competence and capabilities of a service provider are appropriate in the context of the service provided.~~

Limitations on the Eligibility of Individuals to be Appointed as Engagement Quality Reviewers (Ref: Para. 15c))

A5. [Moved from ISQC 1 former paragraph A106B] Relevant ethical requirements or law or regulation may establish requirements for a cooling-off period during which individuals are prohibited from serving as the engagement quality reviewer for engagements for which they previously served in another role(s). For example, the IESBA Code contains prohibitions, for audits of public interest entities, on individuals acting in any of the following roles, or combination of such roles, for a period of more than seven cumulative years, with a minimum cooling-off period of two years:

- The engagement partner;
- The individual appointed as the engagement quality reviewer; or
- Any key audit partner role.

A6. [Moved from ISQC 1 former paragraph A106C] An individual who has served as the engagement partner is not likely to be able to perform the role of the engagement quality reviewer immediately after ceasing to be the engagement partner because it is not likely that the threats to the individual's objectivity with regard to the engagement and the engagement team can be reduced to an acceptable level. In recurring engagements, the matters on which significant judgments are made and the facts and circumstances around those significant judgments are not likely to vary to a degree such that an objective evaluation of those judgments can be made by the individual who served as the engagement partner in the immediate previous period. Accordingly, this ISQM requires the firm to establish policies or procedures that limit the eligibility of individuals as engagement quality reviewers who previously served as engagement partner, for example, by establishing a specified cooling-off period during which the engagement partner is precluded from being appointed as the engagement

⁶ Proposed ISQC 1 (Revised), paragraph 66

quality reviewer. Determining a suitable cooling-off period depends upon the facts and circumstances of the engagement ~~and may include consideration of:~~

~~Whether the engagement quality review is for an audit of a listed entity or an entity with significant public interest, or is otherwise required by law or regulation; and~~

~~For engagements or classes of engagements for which the firm has determined that an engagement quality review is an appropriate response because of the reasons for the assessment given to the quality risk.~~ In the case of an audit of ~~the~~ financial statements of a listed entity, it is unlikely that an engagement partner would be able to act as the engagement quality reviewer until two subsequent audits have been conducted.

Eligibility Criteria for the Engagement Quality Reviewer

Competence, ~~and~~ Capabilities, Including Sufficient Time and Appropriate Authority (Ref: Para. 16(b))

A7. Competence refers to the integration and application of technical competence, professional skills, and professional ethics, values and attitudes, attainment and maintenance of knowledge, skills and the appropriate experience relevant to the nature and circumstances of the engagement, including:

- An understanding of professional standards and applicable legal and regulatory requirements and of the firm's policies or procedures relevant to the engagement;
- Knowledge of the entity's industry;
- An understanding of, and experience relevant to, engagements of a similar nature and complexity; and
- An understanding of the responsibilities of the engagement quality reviewer in performing and documenting the engagement quality review, which may be attained or enhanced by receiving relevant training from the firm.

[Deleted text from paragraph A7 moved to paragraph A9 and amended] ~~Competence may also include expertise relevant to the nature and circumstances of the engagement (e.g., expertise with respect to information technology or specialized areas of accounting or auditing).~~

~~A8.~~ [Deleted former paragraph A8 as capabilities, including sufficient time, is part of the requirement in para. 16(b)] ~~Capabilities refers to having the time and resources to perform the engagement quality review, including having the time to perform the review at appropriate points in time during the engagement.~~

~~A9A8.~~ Factors to consider in determining whether the engagement quality reviewer has ~~The the~~ competence and capabilities, including sufficient time, needed to evaluate the significant judgments made by the engagement team and the conclusions reached thereon ~~may be affected by factors such as~~ include, for example:

- The nature of the entity (e.g., a listed entity).
- The specialization and complexity of the industry or regulatory environment in which the entity operates.
- The extent to which the engagement relates to ~~specialized~~ matters requiring specialized expertise (e.g. with respect to information technology or specialized areas of accounting or auditing), or ~~contains aspects that are specialized scientific and engineering expertise, such~~

~~as may be needed for certain assurance engagements (e.g., in relation to an audit of financial statements there may be specialized areas of accounting that relate to the engagement).~~

A9. [Moved from ISQC 1, former paragraph A106A] In evaluating the competence and capabilities of the individual(s) who may be appointed as an engagement quality reviewer, ~~the results of findings arising from the firm's monitoring activities (e.g., findings from the inspection of in-process or completed engagements for which the individual was an engagement team member or engagement quality reviewer) or the results of external inspections~~ may also be relevant ~~considerations, including the inspection of completed engagements, and performance evaluations and the results of external inspections.~~

A10. ~~Insufficient competence or capabilities may affect the ability of the engagement quality reviewer to exercise appropriate professional judgment in performing the review. The authority of the engagement quality reviewer to evaluate the significant judgments made by the engagement team and the conclusions reached thereon may be affected by the individual's competence and capabilities.~~ For example, an engagement quality reviewer who lacks relevant industry experience may not possess the ability or confidence ~~that is~~ necessary to evaluate significant judgments made by the engagement team on a complex industry-specific accounting or auditing matter.

Appropriate Authority (Ref: Para. 16(b))

A11. Actions at the firm level ~~may contribute help~~ to establishing the authority of the engagement quality reviewer, for example, by creating a culture of respect for the engagement quality reviewer that enables the engagement quality reviewer to withstand pressure from the engagement partner or other personnel to inappropriately influence the outcome of the engagement quality review. In some cases, the engagement quality reviewer's authority may be enhanced by the firm's policies or procedures to address differences of opinion, which may include actions the engagement quality reviewer may take when a disagreement occurs between the engagement quality reviewer and the engagement team.

A12. [Previously part of paragraph A11] ~~However, it~~ The authority of the engagement quality reviewer may be diminished when:

- The culture within the firm promotes respect for authority only when it comes from an individual that is at a higher level of hierarchy within the firm.
- The engagement quality reviewer ~~is within the chain of command of, or~~ has a reporting line to, the engagement partner, for example, when the engagement partner holds a leadership position in the firm or is responsible for determining the compensation of the engagement quality reviewer.

Public Sector Considerations

A13. [Previously paragraph A16] In the public sector, an auditor (for example, an Auditor General, or other suitably qualified ~~person individual~~ appointed on behalf of the Auditor General) may act in a role equivalent to that of the engagement partner with overall responsibility for public sector audits. In such circumstances, when applicable, the selection of the engagement quality reviewer may include consideration of the need for independence and the ability of the engagement quality reviewer to provide an objective evaluation.

~~Threats to the Objectivity of the Engagement Quality Reviewer (Ref: Para. 20(c))~~

~~A12-~~ [Paragraph A12 moved to new paragraph A16] ~~Threats to the engagement quality reviewer's objectivity may arise in the following circumstances:~~

- ~~• A familiarity, self-review or self-interest threat may arise when the engagement quality reviewer was recently consulted on matters of significant complexity or judgment in the engagement.~~
- ~~• A familiarity or self-interest threat may arise when the engagement quality reviewer is a close or immediate family member of the engagement partner or another key member of the engagement team, as well as when close personal relationships are developed through long association with such personnel.~~

~~An intimidation threat (either implicit or explicit) may arise when pressure is exerted on the engagement quality reviewer (e.g., when the engagement partner is an aggressive or dominant individual, or the engagement quality reviewer has a reporting line to the engagement partner).~~

- ~~• A self-review or self-interest threat may arise when the engagement quality reviewer was recently a previous member of the engagement team, in particular the engagement partner.~~

~~A13-~~ [Former paragraph A13 moved to A17] ~~Such threats are addressed through application of relevant ethical requirements for identifying, evaluating and addressing threats. Relevant ethical requirements may identify actions individuals are required to take or consider taking, for example, the IESBA Code provides requirements and guidance for identifying, evaluating and addressing intimidation threats in certain circumstances.~~

~~A14-~~ [Former paragraph A14 incorporated into A5 and A6] ~~ISQC 1 (Revised) requires the firm to establish policies or procedures that address limitations on the eligibility of individuals to be appointed to be the engagement quality reviewers who previously served as the engagement partner on an engagement subject to review. The firm's policies or procedures may specify an appropriate cooling-off period before an individual who served as engagement partner may be appointed to be the engagement quality reviewer. Such periods may vary depending on the nature and circumstances of the engagements subject to engagement quality review. ISQC 1 (Revised) provides guidance that, in the case of an audit of the financial statements of a listed entity, it is unlikely that an engagement partner would be able to act as the engagement quality reviewer until two subsequent audits have been conducted.~~

~~A15-~~ [Former paragraph A15 included in paragraph A24] ~~In performing the engagement quality review, the engagement quality reviewer may not make decisions for the engagement team, as such actions may create a threat to the objectivity of the engagement quality reviewer. Accordingly, ISQC 1 (Revised) requires the firm to establish policies or procedures that address circumstances when the nature and extent of engagement team discussions with the engagement quality reviewer about a significant judgment give rise to a threat to the objectivity of the engagement quality reviewer.~~

~~Public Sector Considerations~~

~~A16-~~ [Former paragraph A16 moved to paragraph A13] ~~In the public sector, an auditor (for example, an Auditor General, or other suitably qualified person appointed on behalf of the Auditor General) may act in a role equivalent to that of engagement partner with overall responsibility for public sector audits. In such circumstances, when applicable, the selection of the engagement quality reviewer may include~~

~~consideration of the need for independence and the ability of the engagement quality reviewer to provide an objective evaluation.~~

Relevant Ethical Requirements (Ref: Para. ~~20(d)(i)~~ 16(c)(i))

~~A1417. The relevant ethical requirements that are applicable when undertaking an engagement quality review may vary, depending on the nature and circumstances of engagements subject to an engagement quality review. Various provisions of the relevant ethical requirements may apply only to individual professional accountants, such as an engagement quality reviewer, and not the firm. For example, Part 2 of the IESBA Code applies to individuals who are professional accountants in public practice when performing professional activities pursuant to their relationship with the firm. Relevant ethical requirements, as defined in this ISQC, are ethical requirements to which the engagement quality reviewer is subject. ISQC 1 (Revised) requires the firm, its personnel and others subject to relevant ethical requirements to fulfill their responsibilities in relation to the relevant ethical requirements, including independence requirements. Relevant ethical requirements ordinarily establish the principles of professional ethics. For example, the IESBA Code sets out the fundamental principles that establish the standard of behavior expected of a professional accountant, which comprise integrity, objectivity, professional competence and due care, confidentiality, and professional behavior. The IESBA Code also provides a conceptual framework that professional accountants are required to apply to identify, evaluate and address threats to compliance with the fundamental principles. It also addresses specific topics relevant to complying with the fundamental principles and includes requirements for independence when performing audits, reviews and other assurance engagements.~~

~~A1518.~~ Relevant ethical requirements may contain provisions addressing the long association of the engagement quality reviewer with the engagement. For example, the IESBA Code addresses threats that may arise from long association in the role of engagement quality reviewer in audits of financial statements of public interest entities in the context of:

- The audit client and its operations;
- The audit client's senior management; or
- The financial statements on which the firm will express an opinion or the financial information which forms the basis of the financial statements.

~~A19. [Former paragraph A19 deleted – addressed in paragraph A5] In addition, the IESBA Code also includes prohibitions, for audits of public interest entities, on individuals acting in any of the following roles, or combination of such roles, for a period of more than seven cumulative years:~~

~~The engagement partner;~~

~~The individual appointed as the engagement quality reviewer; or~~

~~Any key audit partner role.⁷~~

Threats to the Objectivity of the Engagement Quality Reviewer (Ref: Para. ~~20(c)(i)~~)

⁷ See, for example, R540.5–9 of the IESBA Code.

~~A12~~A16. [Previously paragraph A12] Threats to the engagement quality reviewer's objectivity may arise in the following circumstances:

- A familiarity, self-review or self-interest threat may arise when the engagement quality reviewer was recently consulted on matters of significant complexity or judgment in the engagement.
- A familiarity or self-interest threat may arise when the engagement quality reviewer is a close or immediate family member of the engagement partner or another member of the engagement team, ~~as well as or when through~~ close personal relationships ~~are developed through long association with~~ members of the engagement team ~~such personnel~~.
- An intimidation threat (either implicit or explicit) may arise when pressure is exerted on the engagement quality reviewer (e.g., when the engagement partner is an aggressive or dominant individual, or the engagement quality reviewer has a reporting line to ~~is in the chain of command of~~ the engagement partner).
- A self-review or self-interest threat may arise when the engagement quality reviewer was recently a ~~previous~~ member of the engagement team, ~~in particular the engagement partner~~.

~~A13~~A17. ——— [Previously paragraph A13] ~~Such threats are addressed through application of relevant ethical requirements for identifying, evaluating and addressing threats.~~ Relevant ethical requirements may identify actions individuals are required to take, or consider taking, to address threats to objectivity. ~~F~~for example, the IESBA Code provides requirements and guidance for identifying, evaluating and addressing intimidation threats in certain circumstances.

~~Compliance with~~ Law or Regulation Relevant to Eligibility of the Engagement Quality Reviewer (Ref: Para. ~~20(d)(ii)~~16(c)(iii))

~~A20~~A18. Law or regulation may prescribe additional requirements regarding the eligibility of the engagement quality reviewer. For example, in some jurisdictions, the engagement quality reviewer may need to possess certain qualifications or be licensed to be able to perform the review.

Circumstances when the Engagement Quality Reviewer is Assisted by Other Individuals (Ref: Para. ~~21~~17)

~~A19~~22. In certain circumstances, it may be appropriate for the engagement quality reviewer to be assisted by an individual or team of individuals, either internal or external, with the relevant expertise. For example, highly specialized knowledge, skills or expertise may be useful for understanding and evaluating judgments associated with certain transactions undertaken by the entity. [Last sentence moved from paragraph A5] Nevertheless, the engagement quality reviewer appointed by the firm remains responsible for the overall performance of the review, including that the work of individuals assisting in the review is appropriate.

~~A23~~A20. ~~ISQC 1 (Revised)⁸ requires the firm to establish policies or procedures that address the appointment of engagement quality reviewers to perform engagement quality reviews, including the criteria for eligibility to perform, or participate as an assistant, in the engagement quality review that fulfill the requirements of this ISQC. When the engagement quality reviewer is assisted by other individuals in performing the engagement quality review, the engagement quality reviewer remains responsible for~~

⁸ — ISQC 1, paragraph 43(e)(ii)(b)

~~the performance of the engagement quality review under this ISQC. In fulfilling that responsibility, the engagement quality reviewer may direct, supervise or review the work of those individuals, to determine that their work is appropriate. In some cases, When the engagement quality reviewer is assisted by an external individual, the assistant's' responsibilities, including those related to compliance with relevant ethical requirements for an engagement quality reviewer, may be set out in the engagement contract for the assistance or other agreement between the firm and the assistant.~~

Impairment of the Engagement Quality Reviewer's Eligibility (Ref: Para. ~~24~~18)

A21. ~~The engagement quality reviewer's ability to perform the engagement quality review may become impaired in circumstances when an individual, after being appointed as an engagement quality reviewer, no longer meets the eligibility requirements. For example, when changes in the engagement circumstances may arise during the course of the engagement and as a result, the individual may no longer have has the competence or capabilities, including sufficient time, to perform the engagement quality review. Paragraph 43(e)(ii)(c) of ISQC 1 (Revised) requires the firm to establish policies or procedures for the replacement of the engagement quality reviewer when the reviewer's ability to perform the engagement quality review is impaired.~~ [From former paragraph A106D of ISQC 1] The firm's policies or procedures that address providing a replacement for the engagement quality reviewer may set out a process by which alternative eligible individuals are identified or the period of time after notification within which the firm is required to appoint a replacement. Such policies or procedures also may address circumstances in which the engagement quality reviewer becomes aware that the eligibility of an individual assisting the reviewer is impaired, for example, when that individual has not complied with relevant ethical requirements.

Performance of the Engagement Quality Review (Ref: Para. ~~23~~19–~~25~~21)

Engagement Quality Reviewer's Responsibilities to Perform Procedures (Ref: Para. 19(a))

A22. ~~Paragraphs A25–A34 provide guidance regarding the procedures to be performed by the engagement quality reviewer, and the reviewer's overall evaluation based on the procedures performed, in accordance with paragraphs 20 and 21, respectively, of this ISQM.~~

Engagement Partner Responsibilities in Relation to the Engagement Quality Review (Ref: Para. 19(b))

A23. [Moved from former paragraph A1] Proposed ISA 220⁹ (Revised) establishes the requirements for the engagement partner¹⁰ in audit engagements for which an engagement quality review is required, including:

- Determining that an engagement quality reviewer has been appointed;
- Cooperating with the engagement quality reviewer and informing members of the engagement team of their responsibility to do so;
- Discussing significant matters arising during the audit engagement, including those identified during the engagement quality review, with the engagement quality reviewer; and

⁹ Proposed ISA 220, (Revised), *Quality Control for an Audit of Financial Statements*, paragraph ~~19~~33

¹⁰ Similar requirements exist in paragraph 36 of International Standard on Assurance Engagements (ISAE) 3000 (Revised), Assurance Engagements Other Than Audits or Reviews of Historical Financial Information

- Not dating the auditor's report until the completion of the engagement quality review.

Discussions Between the Engagement Quality Reviewer and the Engagement Team (Ref: Para. 19(c))

A24. [Moved from former paragraph A109 of ISQC 1 and amended] Frequent communication between the engagement team and engagement quality reviewer throughout the engagement may assist in facilitating an effective and timely engagement quality review. However~~During the engagement, there may be~~ circumstances may arise when the discussions between the engagement team and the engagement quality reviewer about a significant judgment give rise to a threat to the objectivity of the engagement quality reviewer. The firm's policies or procedures may set forth the actions to be taken by the engagement quality reviewer or the engagement team to avoid situations in which the engagement quality reviewer is, or may be perceived to be, making decisions on behalf of the engagement team. For example, in these circumstances the firm may require consultation with other relevant personnel in accordance with the firm's consultation policies or procedures.~~Such circumstances include when the nature and extent of discussions are such that the engagement quality reviewer becomes involved in making the significant judgments in the engagement, including when the engagement team seeks consultation on a matter with the engagement quality reviewer. When there is a threat to the engagement quality reviewer's objectivity, the firm's policies or procedures may establish the actions to be taken to maintain the objectivity of the engagement quality reviewer, such as requiring the engagement team to consult on the matter with other personnel or requiring the involvement of other personnel in the consultation or to oversee the consultation. In some cases, the firm's policies or procedures may include appointing another individual to perform the engagement quality review for the significant judgment.~~

Procedures Performed by the Engagement Quality Reviewer (Ref: Para. 20–21)

A24A25. ~~ISQC 1 (Revised) requires the firm to establish policies or procedures that address the responsibilities of the engagement quality reviewer in performing the engagement quality review. Such~~The firm's policies or procedures may specify the nature, timing and extent of the procedures performed by the engagement quality reviewer ~~to demonstrate compliance with this ISQM. The firm's policies or procedures may~~and also may emphasize the importance of the engagement quality reviewer exercising professional judgment in performing the review. ~~The procedures performed may include review, inspection, inquiry or observation.~~

A25A26. The timing of the procedures performed by the engagement quality reviewer may depend on the nature and circumstances of the engagement, including the nature of the matters subject to the review. Timely review of the engagement documentation by the engagement quality reviewer at appropriate points in time throughout all stages ~~(e.g., planning, risk assessment, performance, completion, reporting)~~ of the engagement ~~(e.g., planning, risk assessment, performance, completion, reporting)~~ allows ~~significant~~ matters to be promptly resolved to the engagement quality reviewer's satisfaction, on or before the date of the engagement report, ~~and may support the engagement team in its application of professional judgment and its exercise of professional skepticism, when applicable, in performing the engagement.~~ For example, the engagement quality reviewer may perform procedures in relation to the overall strategy and plan for performing the engagement at the completion of the planning phase. In other circumstances, it may be appropriate for the engagement quality reviewer to perform the procedures at the end of the engagement (e.g., when the engagement is not complex and is completed within a short period of time). Timely performance of the engagement quality review also may support the engagement team in exercising professional judgment and, as applicable, professional skepticism, when applicable, in planning and performing the engagement

such that conclusions reached on significant judgments made by the engagement team are appropriate.

A26A27. The nature and extent of the engagement quality reviewer's procedures for a specific engagement may depend on, among other ~~matters~~factors:

- The ~~reasons for the firm's policies or procedures in response to its quality risk~~ assessments ~~given to~~, which may indicate new or greater quality risks ~~in an industry, for example, engagements performed for entities in emerging industries or with complex in relation to certain types of transactions (e.g., those that are complex) in an engagement with such transactions.~~
- ~~The findings arising from Deficiencies identified in the firm's monitoring and remediation process~~activities, which may indicate areas ~~where of greater quality risk in the engagement that are still present and that may require~~ more extensive ~~procedures need to be performed review~~ by the engagement quality reviewer.
- The complexity of the engagement.
- The nature and size of the entity, including w~~h~~ether the entity is a listed entity.
- Other information relevant to the engagement, such as the results of inspections undertaken by an external oversight authority in a prior period, or concerns raised about the commitment to quality of the firm or its personnel.
- The firm's ~~engagement acceptance and~~ continuance ~~of client relationships process and specific engagements~~, which may indicate new risks to achieving ~~engagement quality for an engagement.~~
- Whether members of the engagement team have cooperated with the engagement quality reviewer as required by proposed ISA 220 (Revised).¹¹ The firm's policies or procedures may address the actions the engagement quality reviewer takes in circumstances when the engagement team has not cooperated with the engagement quality reviewer, for example, more extensive review or ~~referring the matter to~~informing an appropriate individual in the firm so appropriate action can be taken to resolve the issue.
- For assurance engagements, the engagement team's consideration of, and responses to, areas of risks of material misstatement in the engagement.

A28. The nature, timing and extent of the engagement quality reviewer's procedures may need to change based on circumstances encountered in performing the engagement quality review.

Significant Matters and Significant Judgments (Ref: Para. ~~2420~~(b)–(d))

A27A29. For audits of financial statements, proposed ISA 220 (Revised) requires the engagement ~~partner to review audit documentation. Significant judgments of the engagement team evaluated by the engagement quality reviewer relate relating~~ to significant matters¹² and other areas involving significant judgments, especially those relating to difficult or contentious matters identified during the

¹¹ Proposed ISA 220 (Revised), paragraph 33(b)

¹² ISA 230, Audit Documentation, paragraph A8

~~course of the in-an engagement, and the conclusions reached.¹³ Judging the significance of a matter requires an objective analysis of the facts and circumstances. Examples of significant matters include:~~

~~Matters that give rise to significant risks (as defined in ISA 315 (Revised)).¹⁴~~

~~Results of audit procedures indicating (a) that the financial statements could be materially misstated, or (b) a need to revise the auditor's previous assessment of the risks of material misstatement and the auditor's responses to those risks.~~

~~Circumstances that cause the auditor significant difficulty in applying necessary audit procedures.~~

~~Findings that could result in a modification to the audit opinion or the inclusion of an Emphasis of Matter paragraph in the auditor's report.~~

~~A28. The scope of the engagement quality reviewer's review of engagement documentation to evaluate the engagement team's significant judgments is less extensive than the engagement partner's review and evaluation of significant judgments.~~

~~A29. The engagement team's significant judgments include such judgments made throughout the planning and performance of the engagement,~~

~~including, for example, those related to:~~

- ~~• Preliminary engagement activities (e.g., the engagement team's consideration of risks identified through the acceptance and continuance process).~~
- ~~• Composition of the engagement team (e.g., the selection of engagement team members, or the decision to involve an expert, including an external expert).~~
- ~~• In an assurance engagement performed in accordance with ISAE 3000 (Revised),¹⁵ the engagement team's determination of whether the criteria to be applied in the preparation of the subject matter information are suitable for the engagement.~~
- ~~• Planning the engagement (e.g., designing the procedures to be performed, including, as applicable, determining materiality, performing risk assessments and designing responses, including planned responses to significant risks, or determining the group audit strategy).~~
- ~~• Performing the engagement, such as:~~
 - ~~○ Circumstances that cause the engagement team significant difficulty (e.g., in an audit of financial statements, those that cause the auditor significant difficulty in applying the necessary audit procedures);~~
 - ~~○ Areas of significant attention for the engagement team or more extensive involvement by senior personnel on the engagement (e.g., areas of complexity or involving greater judgment such as the engagement team's evaluation of the work performed by experts, or, in an audit of financial statements, the engagement team's consideration of related party relationships or transactions, the evaluation of the reasonableness of certain accounting estimates and related disclosures, the~~

¹³ ~~Proposed ISA 220 (Revised), paragraph 17A29~~

¹⁴ ~~ISA 315 (Revised), paragraph 4(e)~~

¹⁵ ~~ISAE 3000, Assurance Engagements Other Than Audits or Reviews of Historical Financial Information~~

~~evaluation of the entity's ability to continue as a going concern, or in group audit situations, the engagement team's evaluation of the adequacy of work performed by component auditors); and~~

- ~~○ The matters communicated with management and those charged with governance and, where applicable, other parties such as regulatory bodies.~~
- The conclusions reached by the engagement team, including for example:
 - ~~○ How matters affecting the overall strategy and plan for performing the engagement have been addressed (e.g., the significance and disposition of corrected and uncorrected misstatements identified during the engagement);~~
 - ~~○ Whether appropriate revisions were made, where applicable, to the identification and assessment of the risks of material misstatement and the responses to those risks; and~~
 - ~~○ Whether there is information indicating that the financial statements or other subject matter information could be materially misstated, or other findings or circumstances that may result in a modification to the opinion or conclusion or that are to be included in the engagement report.~~
- The draft engagement report, for example:
 - ~~○ The engagement team's draft opinion or conclusion, as applicable, including the basis for any modification thereof, and any matters or findings communicated in the report; and~~
 - ~~○ When ISA 701¹⁶ applies, the auditor's determination of the key audit matters or the determination that there are no key audit matters to be communicated. In such cases, the engagement quality reviewer may review the descriptions of the key audit matters for consistency with the audit documentation in relation to significant judgments reviewed in the engagement quality review.~~

A30. For audits of financial statements, proposed ISA 220 (Revised) provides examples of significant judgments that may be identified by the engagement partner related to the overall audit strategy and audit plan for undertaking the engagement, the execution of the engagement and the overall conclusions reached.¹⁷

A31. For engagements other than audits of financial statements, the engagement quality reviewer may consider the nature and circumstances of the engagement in identifying significant matters, and significant judgments made by the engagement team. For example, in an assurance engagement performed in accordance with ISAE 3000 (Revised), the engagement team's determination of whether the criteria to be applied in the preparation of the subject matter information are suitable for the engagement may involve or require significant judgment. The examples in proposed ISA 220 (Revised)¹⁸ also may be useful to the practitioner in identifying significant judgments in engagements other than audits of financial statements.

¹⁶ ISA 701, *Communicating Key Audit Matters in the Auditor's Report*

¹⁷ Proposed ISA 220 (Revised), paragraph A80

¹⁸ Proposed ISA 220 (Revised), paragraph A19A80

Whether Consultation Has Taken Place on Difficult or Contentious Matters or Matters Involving Differences of Opinion (Ref: Para. 20(e))

A32. Proposed ISQM 1¹⁹ sets out requirements for the firm to establish policies or procedures addressing consultation on difficult or contentious matters, including the engagement team's responsibilities for consultation, the matters on which consultation is required and how the conclusions should be agreed and implemented. Proposed ISQM 1²⁰ also sets out requirements for the firm to establish policies or procedures to address differences of opinion that arise within the engagement team, or between the engagement team and the engagement quality reviewer or personnel performing duties within the firm's system of quality management, including those who provide consultation.

Whether the Engagement Partner has Taken Overall Responsibility of the Engagement Partner for Managing and Achieving Quality on the Audit Engagement (Ref: Para. ~~24(e)~~ 20(f))

~~A30~~A33. Proposed ISA 220 (Revised) requires that the engagement partner to determine, prior to dating the auditor's report, in taking overall responsibility for managing and achieving quality on the audit engagement, the engagement partner determines that:

- ~~• Relevant ethical requirements, including those related to independence have been fulfilled;~~
- The engagement partner's involvement has been sufficient and appropriate throughout the audit engagement such that the engagement partner has the basis for determining that the significant judgments made and the conclusions reached are appropriate given the nature and circumstances of the engagement; and
- The firm's policies or procedures, and the nature and circumstances of the audit engagement, and any changes thereto, have been taken into account in complying with the requirements of proposed ISA 220 (Revised).²¹

A34. Other pronouncements of the IAASB, including ISRE 2400 (Revised),²² ISAE 3000 (Revised),²³ and ISRS 4410 (Revised)²⁴ also require the engagement partner to take responsibility for the overall quality on the engagement. Furthermore, ISAE 3000 (Revised)²⁵ establishes requirements for the engagement partner in relation to the engagement quality control review.

Documentation (Ref: Para. ~~26~~22–24)

~~A31~~35. The form, content and extent of the documentation of the engagement quality review may depend on factors such as:

- The nature and complexity of the engagement;

¹⁹ Proposed ISQM 1, paragraph 40(c)

²⁰ Proposed ISQM 1, paragraph 40(d)

²¹ Proposed ISA 220 (Revised), paragraph 37

²² International Standard on Review Engagements (ISRE) 2400 (Revised), *Engagements to Review Historical Financial Statements*, paragraph 25

²³ ISAE 3000 (Revised), paragraph 33

²⁴ ISRS 4410 (Revised), *Compilation Engagements*, paragraph 23

²⁵ ISAE 3000 (Revised), paragraph 36

- The nature of the entity;
- The nature and complexity of the matters subject to the engagement quality review; and
- The extent of the engagement documentation reviewed.

~~A32. ISQC 1 (Revised)²⁶ requires the firm to establish policies or procedures that address the responsibilities of the engagement quality reviewer in documenting the engagement quality review. In some circumstances, the firm's policies or procedures may prescribe matters to be documented by the engagement quality reviewer in addition to the documentation requirements in this ISQC.~~

~~A33~~A36. The engagement quality review may be documented in a number of ways. For example, the engagement quality reviewer may document the review of engagement documentation electronically in the IT application for the documentation performance of the engagement ~~and may note issues raised in order to document the results of the review procedures and significant matters raised during the review~~. Alternatively, the engagement quality reviewer may document the review through means of a memorandum. The engagement quality reviewer's procedures may also be documented as part of other engagement documentation, for example, minutes of the engagement team's discussions where the engagement quality reviewer was present.

~~A37. Although the engagement partner does not date the auditor's report until the completion of the engagement quality review,²⁷ which includes resolving matters raised by the engagement quality reviewer before the report is issued, the documentation of the engagement quality review may be completed after the date of the report.²⁸~~

²⁶ ~~Proposed ISQC 1 (Revised)~~ISQM 1, paragraph 43(e)(iii)

²⁷ Proposed ISA 220, (Revised), paragraph 33(c)

²⁸ ISA 230, Audit Documentation, paragraph 14